Case Book 1

USC Marshall School of Business

MARSHALL CONSULTING & STRATEGY CLUB

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Case 1

Case 1: Flying High

Prompt

In the United States, how many people are in the air right now?

Description

This case involves careful organization up-front and an opportunity for creativity at the end. The majority of people in the air are in airplanes, so consider both commercial and business flights. Notice that the prompt asks "in the air," so the interviewer can include any other reasons why people are not on the ground. Do not let the interviewee simplify or round any of the numbers provided.

Additional Information (if asked)

- The question will be asked during an interview, which is probably during the daytime at some point, so it is safe to assume "now" is between 9am and 5pm (but encourage interviewer to adjust his or her answer based on the time of day).
- Average of 3,000 commercial flights per week day, 5,000 cargo flights.
- Safe to assume that during business hours at any given point, 1/10 of commercial flights are in the air, and 1/20 of cargo flights are in the air.
- Average number of seats is 250 on commercial flights.
- Average staff of commercial flight is 6, of cargo flight is 10.
- Average commercial occupancy: 75%.

Firm: IBM GBS Round 1 | **Type:** Estimate, Market sizing | **Industry:** Aviation

Case 1: Flying High

Calculations

Commercial Flights

- 3000 flights/day * 1/10 currently in the air = 300 planes in the air
- 300 planes * 300 seats per plane = 90,000 seats available
- 90,000 seats available * 75% occupancy = 67,500
- Bonus: 6 staff (2 pilots and 4 flight attendants) per plane * 300 planes = 1,800 people
- TOTAL = 69,300 people

Cargo Flights

- 5000 flights/day * 1/20 currently in the air = 250 planes in the air
- 250 planes * 10 person staff = 2500 travelers
- TOTAL = 2,500

Additional

- Interviewee may add other forms of flight such as helicopters, blimps, hot air balloons, etc.

Final Estimate: 71,800 people

Case 2

Case 2: Japanese Golf Ball Market

Prompt

You are going to visit a client who sells golf balls in Japan. Having had no time for background research, you sit on the plane wondering about the size of the market for golf balls in Japan. Your plane lands in fifteen minutes. How do you answer this question?

Description

There is no one right answer. The purpose of this exercise is to measure the candidate's ability to think logically.

If the candidate struggles, encourage them outline a general framework for how she is going to solve the problem, and then come up with reasonable assumptions about the inputs that she needs. A good rule of thumb is to encourage the candidate to use round numbers.

Additional Information (if asked)

- The population of Japan is 125 million.

Firm: McKinsey Round 1 (adapted) | **Type:** Market sizing | **Industry:** Sports

Case 2: Japanese Golf Ball Market

Calculations

Assumption: Population is uniformly distributed from 0-80 years old (round 125M to 120M for calculations)

- 0-20 years: 30 M
- 20-40 years: 30 M
- 40-60 years: 30 M
- 60-80 years: 30 M

% of Golfers per Segment

- 0-20 years: 30 M * 20% = 6 M
- 20-40 years: 30 M * 25% = 7.5 M
- 40-60 years: 30 M * 40% = 12 M
- 60-80 years: 30 M * 30% = 9 M
- TOTAL GOLFERS = 34.5 M

Assumption: Golfers play 10 times per year

- 34.5 M * 10 Games = 345 M Games

Assumption: Golfers use 4 balls per game

- 345 M Games * 4 Balls = 1380 M or 1.38 B balls

SIZE OF GOLF BALL MARKET IN JAPAN = 1.38 Billion Balls

Notes

This is one potential approach. Several different approaches could be acceptable if based in sound logic.

Case 3

Case 3: Dry Cleaners in Philadelphia

Prompt

How many dry cleaners are located in Philadelphia?

Description

None

Additional Information (if asked)

- The population of Philadelphia is 2 M

Firm: Accenture Round 1	**Type:** Market sizing	**Industry:** Small business

Case 3: Dry Cleaners in Philadelphia

Calculations

Assumption: Population is uniformly distributed from 0-80 years old.

- 0-20 years: 0.5 M
- 21-40 years: 0.5 M
- 41-60 years: 0.5 M
- 61-81 years: 0.5 M

Assumption: The 0-20 age segment does not use dry cleaning, and only 25% of adults use dry cleaning (% of dry cleaners can vary by age group in your answer)

- 1.5 M Adults * 25% = 375 K Adults who dry clean

Assumption: Those who use dry cleaners clean 4 clothing items weekly

- 375 K * 4 = 1.5 M clothing items cleaned/week

Assumption: The average dry cleaner has two workers that can each handle 15 customers per hour

- 2 workers * 15 customers/hour * 4 units/ customer * 8 hr/day * 5 days/week = 4800 units/week

Total Demand/Week ÷ Total Capacity per Cleaner/Week

- 1.5 M Units / 4800 Units per Cleaner per Week = ~310 Dry Cleaners

TOTAL = ~200-400 Dry Cleaners in Philadelphia (depending on assumptions made)

Notes

This is one potential approach. Several different approaches could be acceptable if based in sound logic.

Case 4

Case 4: Car Tires in the U.S.

Prompt

Please estimate the number of passenger car tires sold each year in the United States.

Description

None

Additional Information (if asked)

- 10 M new cars sold each year
- Cars last about 7 years before needing replacement
- Tires last 45 K miles
- People drive 15 K miles/year
- Assume people purchase new tires when needed
- Assume no growth in 'installed cars'
- BONUS: New cars get 5 tires (including spare), old cars get 4 new tires

Firm: Samsung Round 1 (adapted)	**Type:** Market sizing, New business	**Industry:** Automotive

Case 4: Car Tires in the U.S.

Calculations

70 M cars on the road

- 60 M old cars
- 10 M new cars

Tires last three years

60 M installed cars / 3 years

- 20 M cars need new tires each year
- 20 M * 4 tires = 80 M tires

10 M new cars

- @ 4 tires / car = 40 M tires
- @ 5 tires / car = 50 M tires

TOTAL TIRES SOLD EACH YEAR

- 120 M tires (no spare)
- 130 M tires (w/ spare)

Notes

This is one potential approach. Several different approaches could be acceptable if based in sound logic.

Case 5

Case 5: Polly Publishing

Prompt

Your client is the CEO of a publishing company producing a line of educational magazines and a line of women's magazines. Both businesses are profitable but not growing quickly. He wants to start a third monthly magazine in the US targeted at 25- to 55-year-old men (e.g. GQ Magazine). His stated goal is $12 million in circulation revenues in the first year. Is this possible?

Description

This is a market estimation case. The case is based off estimations and the candidate's ability to work with those estimations. While there are no right/wrong answers in market estimation cases, the interviewer usually has a range of "correctness." The candidate's answer should fall within interviewer's estimate to the extent that your assumptions are realistic. Ask the candidate to walk you through his thought process – top-down, bottom-up. Once his /her structure is in place, ask him/her to compute the calculation. Various methods may be used to estimate the answer; one approach is outlined below.

Additional Information (if asked)

- The total US population is approximately 320 million.

Case 5: Polly Publishing

Calculations

- Assumption: Population is uniformly distributed from 0-80 years old.
    - Each year = 4 million people
    - 25-55 -> 30 years of people * 4 million = 120 million people
- Approximately 1/2 of them are male, or 60 million.
- Of the 60 million, assume that 1/2 would read a magazine, or ~30 million.
- Given the wide range of magazines on the market assume that only 10% of magazine readers would want to read a men's journal, or 3 million target customers
- As a new magazine, assume that you can generate a 5% market share in year one, or 150,000 customers.
- Assume a cover price of $4/mag at the newsstand and $2/mag for a subscription.
- Assume 50% subscribe (75,000 customers) and 50% buy at the newsstand (75,000 customers).
- Rev/month newsstand = 75,000 * $4/mag = $300,000, Revenue/month subscription = 75,000 * $2/mag = $150,000
- TOTAL ANNUAL REVENUE = $450,000 * 12 months = $5.4 M

Notes

Conclusion: In this case, given the CEO's stated goal of $12 million in circulation revenues, it does not make good business sense to launch the magazine.

Case 6

Case 6: Houston Firearms

Prompt

Our customer, Houston Firearms, is the 300-year old national market leader of firearm manufacturing and sales. Recently, they have seen a decrease in sales. What are the reasons of their drop and what can we do to proliferate sales?

Description

The decrease in sales is due to the new market entrant "Wal-Arms." This case presents a typical problem of competitive reactions to a market entrant and driving sales. A good framework early should help pinpoint the problem quickly. Then, a clear framework for driving sales, along with creative solutions, wrap up the case well.

Additional Information (if asked)

- Market share in 2009 was 45%; in 2007 was 55%.
- The industry has grown by 3% annually in the last two years.
- The most popular "Houston Rocker" constitutes 70% of our sales. Remaining sales are from specialty firearms suppliers.
- Cost of production, distribution and marketing have not changed.
- Prices increased with only with the rate of inflation.
- Austin based "Wal-Arms" was established in 2005 and has since been growing rapidly. They outsource their production and thus offer a cheaper alternative: the "FireEasy."
- Besides a few small local companies, no new company has entered the industry.

Firm: IBM GBS Round 1 (adapted) | **Type:** Profitability | **Industry:** Defense

Case 6: Houston Firearms

Analysis

Step 1: Realizing Issue

- The decrease in sales is due to recent competitor “Wal-Arms.”

Step 2: Frame Solutions

- We should find the competitive response to ways to revamp our sales.
- Frame solution. For example, divide growth strategies into four categories: sell existing / new products to existing / new customers. Then brainstorm within this matrix.

Step 3: Brainstorm and Present Solutions

- If Wal-Arms is producing firearms cheaper, Houston Firearms can focus on their competitive advantage: quality manufacturing and a premium market position.
- Market our quality, safety and superior security
- Houston Rocker is a US tradition and many of the target firearm users are patriotic.
- Market our history
- Create a cheaper firearm product line to compete with the FireEasy (new brand name).
- Expand product lines outside firearms.
- Expand to new geographies.
- Evaluate and compare various solutions.

Case 7

Case 7: In Your Dreams

Prompt

Our client is Comartis, a small healthcare equipment manufacturer located in Texas. Comartis has just invented a small device that improves the quality of sleep by 400%. How should they price it and what is the estimated market for this product?

Description

This involves estimating the value of time and value of feeling well-rested. Pricing involves price-based costing, cost-based pricing, and comparables. The market size comes from people who have poor sleep quality AND time-related needs.

Additional Information (if asked)

- Revenue = $20 million
- Profits = $1 million
- This is the company's flagship product, as it has no others currently on the market. Users strap the device around the head and breathe through a mask on the front.
- Costs $20 per unit to produce.
- Market: Average hours of sleep per night = 8. So, this product reduces the number of required hours by 6. The company wants to focus on U.S. market.

Firm: IMS Round 1 (adapted) | **Type:** Market sizing, Pricing & valuation | **Industry:** Health care

Case 7: In Your Dreams

Analysis

Pricing

- 3 methods to gauge price:
    - Price-based costing. What is someone willing to pay? Assume wage rate of $10 per hour. Hours per night goes from 8 to 2: 6 hour reduction. 6 hours / night * $10/ hour * 365 nights per year = $21,900 per year. This probably represents an upper bound.
    - Cost-based pricing: Production costs $20 can be used as a lower bound for pricing
    - Comparables. $30 to $21,900 is an enormous range, so must find something more specific. People will pay several hundred dollars for a relaxing massage, or acupuncture many times a year. Or, they spend money every day on energy-boosting foods and drinks. These provide comparable benefits and suggest a safe price estimate falls between $500 and $2,000
- Consider different pricing methods: rent the device per night / week or sell it entirely.
- Device itself is unappealing: big, intrusive apparatus on the face.
- Start by pricing high and decrease, or price low and increase?

Market Size

- Assume price of $1,000. People who buy have both sleep-quality AND time- related needs.
- 300 million: U.S. population
- 80 million high enough income to purchase
- Assume uniform distribution of ages 0 – 80. People with sleep-quality issues who would be interested:
    - Ages 0 – 20: 20 million; 5% purchase: 1 million
    - Ages 21 – 40: 20 million; 10% purchase: 2 million
    - Ages 41 – 60: 20 million, 20% purchase: 4 million
    - Ages 61 – 80: 20 million, 25% purchase: 5 million
    - Total: 12 million
- Of the 12 million, 50% have time-related issues, or 6 million.
- Remove 1 million who aren't comfortable wearing a mask at night.
- Thus, 5 million person market size in the United States.

Case 8

Case 8: Greeting Cards

Prompt

A major greeting card company is considering a proposal from Yahoo to advertise its e-commerce product, a greeting card that is sent to the recipient as an e-mail attachment. Your client will get an exclusive position on the website's front page that will help drive traffic to its greeting card site. The Yahoo exclusivity costs $2 million per year for the next two years. Is it a good deal? Should your client do it? Will they make money?

Description

This is a classic revenue/cost problem. To begin, determine the traffic and customer base that will be attracted from the Yahoo portal and the resulting revenue. Then compare this to the proposal cost as well as internal costs to deliver the electronic greeting card product. There are also some peripheral considerations for the Yahoo deal.

Additional Information (if asked)

- 50 billion visits to Yahoo's site (per year)
- Click through rate to greeting card site – 1:1000
- 5% sell rate
- 25% of traditional greeting card business = 625,000 (interviewee calculation)
- $20 million in revenue from all cards (traditional paper and electronic) S10 million in electronic card revenue
- Production costs = $0
- Design costs = margin = 50%
- Card cost to customer = $2-6 per card (average is $4 per card)

Firm: Unknown | **Type:** Profitability | **Industry:** Greeting cards, e-commerce

Case 8: Greeting Cards

Analysis

Customer Base from Yahoo:

- 50 billion visits to Yahoo's site (per year)
- Click through rate to greeting card site – 1:1000 5% sell rate Result: 2.5 million sales via Yahoo (interviewee calculation)

Cannibalization:

- 25% of traditional greeting card business = 625,000 (interviewee calculation) Incremental increase in card sales (delivered electronically) = 1,875,000 (interviewee calculation)

Revenue:

- $20 million in revenue from all cards (traditional paper and electronic) S10 million in electronic card revenue
- Production costs = $0 Design costs = margin = 50%
- Card cost to customer = $2-6 per card (average is $4 per card) Profit = $2 per card (interviewee calculation)

Net Profit:

- Incremental revenue from electronic greeting cards = 1,875,000 x $2 = $3,750,000 (per year) (interviewee calculation)
- Less $2 million exclusivity cost for Yahoo $1.75 million in profit per year

Notes

Yes, they should do the Yahoo deal.

Firm: Unknown | **Type:** Profitability | **Industry:** Greeting cards, e-commerce

Case 9

Case 9: Overlook Hospital

Prompt

Overlook Hospital is a local hospital that has been hurting. The 600 bed institution has had consistently high patient volume growth, but is seeing a rise in the number of uninsured patients. Recently, it has been under operating margin pressure from the local government, that are requiring the hospital to reduce its budget $100 million over the next three years. As a stipulation, the hospital cannot forego service in this budget cut – it must maintain its service. At the same time, management are looking for a way to grow revenue. What do you recommend about the budget, and how do you recommend growing revenue? Finally, what implementation challenges to do you see in your recommendations?

Description

This case focuses on data collection and diagnosis. The problems with the hospital are not difficult to diagnose, but it is more challenging to gather the data and understand exactly how to re-do the budget. As the interviewee asks questions about the hospital, ask the interviewer how he or she would collect the data to answer each question. Then, as problems surface, ask how the interviewee would compare those data / results to other data available.

Additional Information (if asked)

Product
- Hospital known for decent quality -- relative to competitors it is middle-of-the-road
- Provides a range of services, from simple examinations to high-end procedures (ankle sprains to brain surgery)
- There is a growing demand for higher-margin services, like emergency room procedures

Capacity
- They have noticed unused capacity – high-quality doctors are spending time doing routine exams.
- Also noticed doctors are working outside of their profession in an effort to speed up the process

Profits
- Major variable costs: personnel and supplies
- Doctors have been forced to take care of administrative tasks
- Supply use has been high: ask how interviewee would evaluate this (answer: compare waste to comparable hospitals)
- Specifically, the volume of disposable waste has been growing
- Major fixed costs: utilities, SG&A, sales and marketing, and capital expenditures (equipment upgrades)

Firm: Deloitte S&O Round 1 (adapted)	**Type:** Cost reduction, Revenue increase	**Industry:** Health care

Case 9: Overlook Hospital

Analysis

Capacity Issues

- Can hire additional talent in areas that are needed
- Re-align doctors: have them stay within their own practice to keep organization and ensure they are working on what they are best at
- Hire (lower salaried) generalists to deal with routine, low margin procedures
- Data
- Would want to collect info about usage rates, hours worked
- Compare to: internal metrics over time, and to other comparable hospitals
- Patient turnover
- Can make beds more compact
- Encourage home-care when possible to lower turnover

Profit Issues

- Personnel cost
- Supplies cost
    - Volume: encourage lower use of disposables (be environmentally friendly)
    - Price: re-negotiate cost of supplies with vendors, or even look for new, cheaper vendors
- Utilities cost: no problem
- SG&A cost: few problems
- Sales and marketing cost: no problem
- Equipment upgrade cost:
    - Focus on equipment maintenance to reduce frequency of repair
    - Lower quality of luxury equipment – perhaps use lower quality beds
- Revenue growth
    - Focus on high-margin services
    - Advertise in other communities

Case 9: Overlook Hospital

Analysis

Recommendation

- Improve efficiency:
  - Change talent pool to reflect service needs: hire generalists, re-align doctors, re-shift work focus
  - Capacity: put beds closer together, encourage home care to reduce turnover
- Costs:
  - Reduce volume (work with nurses & doctors) and price of supplies (work with suppliers)
  - Cut unnecessary equipment costs, reduce quality
- Revenue:
  - Change service offering
  - Add customers in new geographies
- Risks:
  - Economic
  - Legal: ramifications with local government?
  - Internal: unions / bureaucracy that make change difficult?
  - Competitive response: how will other hospitals react?
  - Community: PR issues with cutting quality in some areas

Case 10

Case 10: Life of a Consultant

Prompt

I travel a lot for client work and always have to rent a car. When I rent the car, I am given the option of pre-paying for them to fill up the gas tank for $2.49 / gallon. If I were to fill it up on my own, I would pay $2.99 / gallon. What should I do and what are the tradeoffs?

Description

This is a seemingly straight-forward case. It requires fast math. The interviewee should be comfortable making quick assumptions. Beyond the math, a good interview adds additional considerations and tradeoffs at the end.

Additional Information (if asked)

- The airport, hotel and client site are each 5 miles from one another and form a triangle when mapped out.
- He travels Monday – Thursday.
- He drives to get lunch every day. It is 10 miles each way to lunch.
- He does not go out for dinner.
- He has some errands to run during the week, totaling 25 miles.
- Additional assumptions to be made by interviewer (provide if asked):
- 15 gallons in a tank of gas
- Fuel efficiency of 300 miles/tank, or 20 mpg
- Assume he would go straight from the client site to the airport, resulting in 1 round-trip to the airport and 3.5 round-trips between the hotel and client site
- Can round the gas numbers to $2.50 and $3.00 for easier math

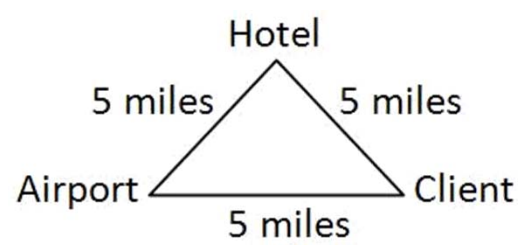
Case 10: Life of a Consultant

Analysis

- Total miles driven: 10 miles round-trip to airport + 35 miles round-trip to client site + 80 miles for lunch + 25 miles for errands = 150 miles
- Total gallons used: 150 miles/20 mpg = 7.5 gallons
- Total cost of gas if did not pre-pay: $3/gallon x 7.5 gallons = $22.50
- Cost of pre-paying for a full tank: $2.50/gallon x 15 gallons = $37.50
- <u>Purely based on numbers, he should not pre-pay for gasoline for this trip</u>
- Tradeoffs:
    - Convenience factor
    - The value of his time
    - Meetings often run late, so if he doesn't have time to fill up the gas tank on the way back, he will pay more than $2.99/gallon for the car company to re-fill it
    - Gas prices fluctuate in a given week

Notes

If the candidate is struggling to visualize the distance relationships, draw the diagram below for them.



Case 11

Case 11: ATVs

Prompt

We are doing private equity work for an ATV manufacturer. The manufacturer wants to understand the cyclicality of the ATV business. He has some information about the industry wide sales of ATVs from 1980 till today (2007): see the chart below. The client wants to know the reasons for the cyclicality of business. So, tell me - Why did the sales fall in 1980? Why did sales then flat out around 2000s? Why did they rise in the 2000s? What will happen after 2007?

Description

Don't allow the interviewee to open with a framework. Instead, dive straight in to the case. This presents a more uncommon challenge: having to think on one's feet constantly. There are hundreds of reasons why annual ATV sales have fluctuated so much. The interviewee should be able to brainstorm ideas and conduct a conversation with the interviewer to identify which reasons make the most sense and which ones do not.

The interviewer should allow the conversation to float to different areas, challenging the interviewer as he / she analyzes different factors. This is largely a discussion case, but the interviewer should keep the discussion focused and should press the interviewer constantly.

Additional Information (if asked)

- ATV – All Terrain Vehicle – is primarily an off-road vehicle used for recreational purposes. It has 4 wheels, is typically a little smaller than a motorcycle and people ride it like a motorcycle.
- Users – It is very popular among kids and adults, or ages 15 to 50.

Firm: NERA Round 1 (adapted) | **Type:** Industry analysis, Economics | **Industry:** Automotive

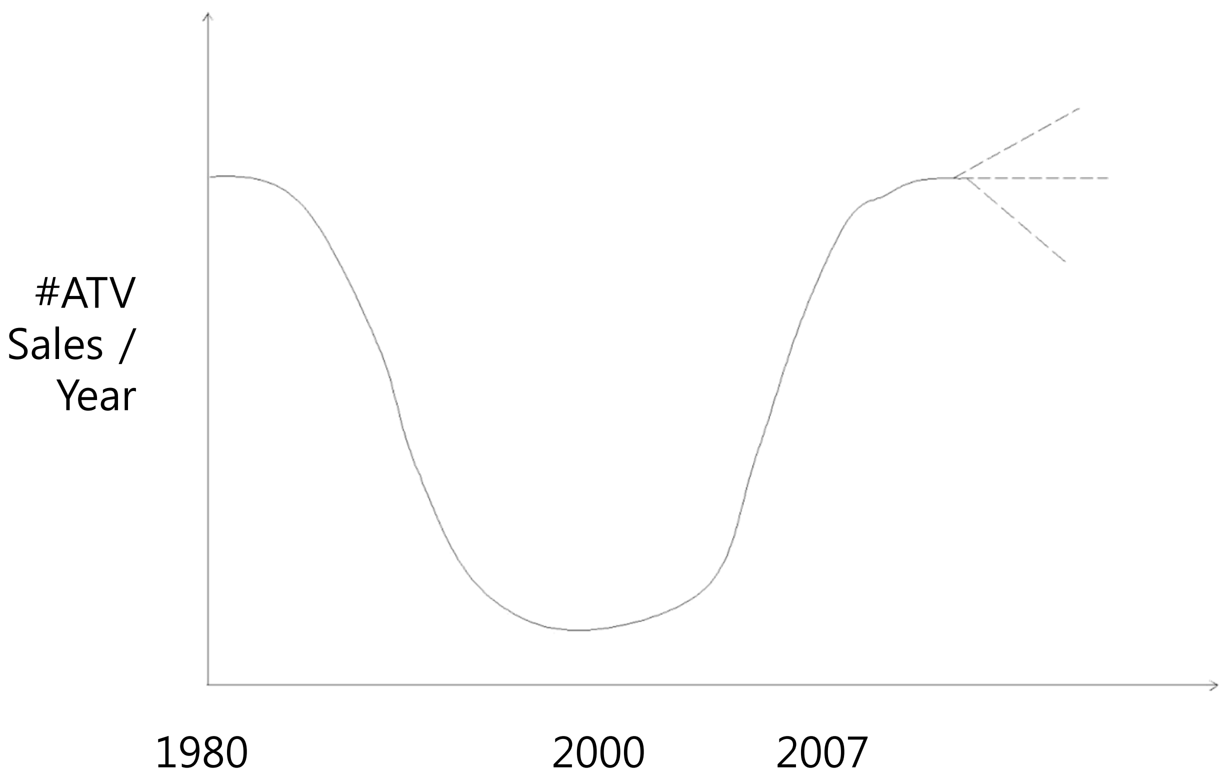
Case 11: ATVs

Analysis

- 1980s: ATVs were 3 wheelers and they had a lot of safety concerns. So the government essentially banned them. That explains the drastic fall.
- 1990s: 4 wheeler ATVs became popular as they were safer. People wore helmets. ATVs were restricted to off-road trails. This caused the stabilization.
- 2000-07: The economy was going through a housing market bubble. People had a lot of credit available. They used the money to buy ATVs (and other luxury / discretional goods). So the rise.
- 2007: A credit crunch in the market.
- Future: Sales will fall and stabilize somewhere in the halfway mark by 2011.
- Note:
  - Economy went through several cycles between 1980 and 2000. The dot-com bubble was around 2002.
  - Demographics – the user population remained about the same.
  - ATV prices grew with inflation.

Case 11: ATVs

Exhibit 1



Case 12

Case 12: American Express

Prompt

American Express (Amex) is a consumer services company providing a variety of services to its cardholders. Its primary service is its well-known charge card that enables "members" (i.e., cardholders) to purchase goods and services from millions of merchants that accept the card. Unlike other credit cards, cardholders are required to pay off their accrued balances each month, and interest is not charged. Recently, Amex has faced strong competition from new credit cards entering the market. They have considered dropping the $55 annual fee. What are the economics of such a decision, and should they drop the fee or not?

Additional Information (if asked)

- $55 x the number of members (could round to $50 for simpler math).
- The number of cardholders is approximately 14 million – NOTE: Give only after asking the candidate to size the market themselves
- No additional revenues from consumers, since balances are paid monthly. (Amex doesn't enforce late fees)
- 1% merchant fees for all transactions from merchants honoring the Amex card.
- Est. annual transactions are $1,000.00 per cardholder.

Firm: Capital One Round 2 (adapted)	**Type:** Pricing, Products	**Industry:** Financial services

Case 12: American Express

Analysis

If the annual; fee is dropped, Amex loses $55 x number of cardholders.
Amex would have to generate new or additional revenues to overcome the loss of annual-fee revenue.
Using a conservative estimate, lost revenue will be 10 million x 55 = $550 million.

Q: Will consumer spending increase sufficiently to generate merchant-transaction revenue?
A: Not likely, since cardholders must still pay-off balances at the end of the month.
Therefore, must increase number of cardholders to increase merchant-transaction revenue.

Q: Is it possible to sufficiently increase the number of cardholders?
A: How would YOU estimate this? The average annual transaction revenues are $1,000 x 1% = $10 per member.
Therefore, the number of new customers required to overcome the revenue loss would be 550 million / 10 = 55 million
Now, is it possible for Amex to gain 55 million new members this year? Not likely, is it!

Also possible to raise transaction fees: more revenues, but must address consequences for vendor relations.

Q: Does Amex enforce late fees?
A: No, but most credit cards charge $20 - $25 for late payments.

Should Amex charge interest and allow card-members to hold a balance?
Would the new revenues from interest offset losses from dropping the annual fee? Depends on rate of interest and average balance. Q: What is the average APR and average monthly balance? A: You tell me. (use 15% and $500)
If average balance = $500 at ~10% APR = $50 per member x 10 million members = $500 million annually.

Case 12: American Express

Recommendation

Based on economic analysis, don't drop the fee. It is difficult to replace the lost revenue.
While some options exist (i.e., charging interest on balances) the consequences should be explored.

Amex could issue an interest-driven credit card under a new brand name (in fact, Amex did so with the Optima card).

Evaluation

The client specifically inquires about the economics of ending the annual fee. Good answers should focus on this issue, and should provide recommendations based on the analysis. Good answers should explore the issue of rival credit cards entering the market, how their product offering is similar or different from the American Express card, and the strengths and weaknesses of American Express's position. Alternative revenues should be explored. One option is charging interest and allowing cardholders to hold a balance. Answers should address how this would this affect the AMEX brand, i.e., the consequences of becoming a just another ordinary credit card. Another is enforcing late fees, or raising merchant fees. The consequences of these should be addressed also.

Outstanding answers should additionally explore the effects of competition among credit cards for revenues, and recommend how Amex could increase revenues without dropping the $55 fee. For example, comment on the quality of new members acquired, since competition is forcing many credit card companies to issue cards to riskier consumers.

Case 13

Case 13: Lucky Gas

Prompt

Your friend owns Lucky Gas, a gas station on I-15 right outside of Las Vegas. He is thinking about installing a slot machine in the gas station. He asked you if he should do it.

Description

It is profitable to add the slot machine and given that the owner's goal is profitability, a decent recommendation is to add the machine. However, a strong analysis will consider risks and other options before making the "yes" recommendation.

Additional Information (if asked)

- He is looking to install 1 slot machine, which costs $5,000 (one time cost).
- It has to have a minimum pay out rate of 75%. You are able to set the payout rate yourself.
- There is an annual licensing fee of $1,000.
- The average Vegas hotel casino slot machine brings in $200/day in revenue.
- Additional assumptions to be made by interviewer (provide if asked):
- Since the slot will not be located in a hotel, assume it would bring in 50% of a hotel slot machine
- Variable costs – electricity – $1/day
- The gas station is open every day
- The payout rate: 80%
- Lifespan of a slot machine
- Taxes are 30%

Case 13: Lucky Gas

Analysis

- Annual revenue = $100/day x 365 = $36,500
- Revenue after payout rate: (1-0.80) x $36,500 = $7,300 (will vary based on chosen %)
- Fixed costs = $5,000 one-time investment + $1,000 annual licensing fee
- Variable costs = $1/day = $365
- Profit = $7,300 – $5,000 - $1,000 - $365 = $935
- Profit after taxes = (1-0.70) x $935 = $654.50
- Yes, he should install it because there is a profit and because he will not need to incur the $5,000 purchase cost for several years (whatever the chosen lifespan was), which will increase his profit before taxes by $5,000 each year
- Additional items to mention
- Could place it near the bathrooms to let people play while they are waiting in line.
- Assuming the gas station sell snacks, it may increase food purchases by drawing people inside.
- Put up signage on the highway announcing the slot, which may increase business.
- You can adjust the payout rate, so the friend can play around with the optimal payout.
- An average daily was provided, but he needs to consider the cost of the slot – $0.05, $0.25, $1, etc. A $0.25 may encourage more people to play. People could use the change from their recent snack purchase to play.

Firm: Analysis Group Round 1 (adapted)	**Type:** New business	**Industry:** Small business, oil & gas

Case 14

Case 14: Deposit Slips

Prompt

Your client manufactures and sells deposit slips to banks at a price of $1/slip. They are the leading firm in this $100 million industry with 60% market share. There is only one other competitor. Federal regulations will decrease the industry size by 10% next year. Our client wants to maintain its profit to fund other projects. What options does it have and are any of these appealing?

Description

Push interviewee to determine the clients' current profit and whether or not the client should lower price / engage in a price war

Candidate should determine who would win the price war and if the price war would maintain current profitability.

Additional Information (if asked)

- Total Cost for client is $0.70 per slip.
- Competitor out-sources manufacturing for a total cost of $0.90 per slip.

Case 14: Deposit Slips

Analysis

Example Case Structure:

Sample Profitability Framework

Strategy Options	Current Profitability	Competition	Industry
Enter into price war	Quantity	Competitor profitability	Trends?
Differentiation	Price	Other divisions?	Regulations?
	Fixed costs	Success factors?	

Case 14: Deposit Slips

Analysis

Candidate should calculate current profitability
Q = 60% x 100M = 60M
TR = Q x $1/slip = $60M TC = Q x $0.70/slip = $42M
Profit = TR – TC = $18M

Candidate should determine who would win a price war…
Client cost of $.70/slip is lower than competitor cost of $0.90/slip, so client will win the war. Rational competitor should not price below cost.

…and whether client will maintain current profits after price war.
The price war will end at P = $.90/slip.
Q = 90M (client has 100% of market now, but market has shrunk by 10% due to federal regulation) TR = Q x $0.90/slip = 81M TC = Q x $0.70/slip = 63M
Profit = $18M → Profits are maintained → Go ahead with price war.

A solid interview will address other potential risks
- Capacity constraints: Q is increasing by significant amount (50%), so plant expansion may be necessary. (Reality was that only two shifts were run, so simply need to add a shift.)
- Competitor may act irrationally.
- Federal regulation may be a sign of future trends and lower industry profitability in future years.

BONUS: Give only if the candidate asks about reasons the competitor may act irrationally
The competitor has another division. Does this change anything?
- The competitor’s other division comprises 75% of its revenues.
- This division manufactures a specialty chemical that is sold to banks to check for fraud. (e.g. ink pen that changes color when used on counterfeit money).
- This division is highly dependent on bank relationships built through the deposit slip business.

Case 14: Deposit Slips

Recommendation

If candidate does NOT ask about competitor acting irrationally and selling at a loss:

Client should engage in a pricing war to steal market share from the competitor. Even with the decline in market size, the client will maintain current dollar profits.

If candidate does ask about competitor acting irrationally and selling at a loss:

The competitor is more likely to sell deposit slips below cost because its other division is so dependent on it. Price war may not be a good idea.

Case 15

Case 15: Business Class Airline

Prompt

Our client is a budget airline considering entering a new market for business class flights. They are considering running an all business-class service within Europe. They want your advice on whether this is a good idea, and if so, how they should do it.

Description

After candidate goes through their framework, walk them through the first calculation question.

Additional Information (if asked)

Q: What is the client's current business?
A: A range of cheap short haul flights from the UK to various European destinations

Q: Do they offer any business class flights at the moment?
A: No, but passengers can pay for various upgrades such as speedy boarding and greater legroom.

Q: How is their current brand perceived?
A: Extremely cheap, but very low quality service.

Q: What price do competitors offer for similar business class seats?
A: $1,000 / passenger

Q: Is an acquisition or partnership a viable option?
A: No, they would prefer to not enter this market through another entity. Partnership may be an area to explore but we have no data to decide which partner would be most suitable.

Case 15: Business Class Airline

Analysis

Example Case Structure:

Market Entry Structure

- **Customers**
  - Business travelers
  - Luxury tourism
- **Competition**
  - Incumbent airlines
  - Possibility of new entrants
  - Substitute products
- **Capabilities**
  - Existing slots at airports
  - Provision of onboard and airport services
  - Brand
- **Entry Mode**
  - Set up new subsidiary
  - Acquire

Firm: Strategy& (part of PwC)	**Type:** Market entry	**Industry:** Airlines

Case 15: Business Class Airline

Analysis

Our first destination will be Vienna. How much would we have to charge to break even with 25/32 seats filled?

Costs (Can give candidate number only after they have exhausted all ideas and provided a reasonable estimation):

- Fuel: 6,000 gallons @ $3.00/gallon = $18,000
- Aircraft dry lease: $2,500/flight
- Aircraft Servicing: $600 / flight
- Aircrew Costs: 2 pilots @ $700 & 3 crew @ $400 = $2,600
- Other Overhead: $1,500 / flight
- Airport Charges (landing, passenger use of facilities): $900 / flight
- Catering Costs: $1,400 / flight
- TOTAL COSTS: **$27,500 / flight**

Breakeven Revenue:

- 25 passengers
- $27,500 costs / 25 passengers = **$1,100 / passenger**

Key Insights:

- Issues exist around the brand of a low cost airline, meaning the rebranding might be necessary
- Landing slots at hub airports are critical to business travel, and will be very hard to acquire
- They do not have the full set of capabilities required to deliver a business class service, so choice of partners is critical

Case 15: Business Class Airline

Analysis

If offering business class flights is not attractive, what are some innovative ways for our client to get into the luxury tourism market?

Possible Answers (chance to be creative… these are simply some ideas):

- Fly a scheduled service to high end holiday resorts
- Partner with luxury hotel chains and travel companies to offer packages
- Fly from regional airports and include a chauffeur to get passengers there
- Charter to luxury cruise lines to offer passengers flights to the ships
- Do not fly scheduled flights, but focus on one of flights to key European social events – Monaco Grand Prix, Paris Fashion Week, etc.
- Offer packages including entry to these events
- Run on board events like wine tasting
- Offer experience flights ie. Over north pole

Conclusion

- Issues exist around the brand of a low cost airline, meaning the rebranding might be necessary
- Landing slots at hub airports are critical to business travel, and will be very hard to acquire
- They do not have the full set of capabilities required to deliver a business class service, so choice of partners is critical

Case 16

Case 16: Missiles

Prompt

Our client is a major defense contractor for the United States government. There has been a growing threat from terrorists who are shooting down commercial aircrafts with rocket launchers. There is a potential solution to the problem: to equip planes with anti-missile defense systems, called IRCMs (infra-red counter measures). These devices defend against ground-to-air attacks. Congress has approached your client requesting that these systems be installed on commercial planes. Do you recommend that they take the deal?

Description

This case focuses on the profitability of the new system. Selling to Congress means losing money, but there's a huge opportunity to go overseas. That opportunity may make it worth taking the deal. There is also a major strategic threat: the major competitor will have 50% of the market. What if the competitor doesn't accept the job (then our client gets entire market)? What if competitor moves overseas?

Additional Information (if asked)

Market

- 6,000 commercial planes
- 3,000 planes are eligible for installation
- Client thinks they can capture 50% of the market (so 1,500 planes total); there is another competitor who would have the remaining half. This competitor also competes in the rest of our client's product and service lines.
- Government law says that that the government must use more than one provider (minimum) to maintain "competitive market." (So, there will always be another competitor.)
- Stagnant growth
- Airlines have no problem with installing system: not an issue

Product

- The system is installed beneath the plane. It is a small device and installation is easy.
- It uses infrared lasers to redirect the missile away from the plane, but the missile is then just sent in another random direction (system can't control where it goes; it can only ensure that the missile doesn't hit the aircraft).
- The government will pay $2 million per installation.
- The systems need re-installation every 10 years.

Company

- Current total revenue of $15 billion
- Variable cost per system is $1.75 million
- Annual fixed costs: $250 million for factory, $250 million for management and employees, and $250 million in R&D.

Firm: Bain | **Type:** New product | **Industry:** Aerospace & defense

Case 16: Missiles

Analysis

Market Opportunity

- 6,000 planes * 50% (are eligible) * 50% market share = 1,500 planes
- $2 m installation means $3 billion opportunity

Profits

- Revenue: $ 3,000 m
- Variable costs: $ 2,625 m
- Gross margin: $ 375 m
- Total fixed costs: $ 750 m
- Profits: $(375)m
- Not profitable, but there may be other opportunities

Opportunities

Expand geographically: what governments would be interested? (Fixed costs stay the same if expand internationally, so marginal profit is positive.)

- Ones with many commercial flights over terrorist areas
- Middle East and southern Asia

What are criteria in selecting governments to sell to? Any governments NOT willing to sell to?

- If they can pay (afford it)
- Type of government (democratic?)
- Level of corruption
- Competitors in new market
- PR issues

Case 16: Missiles

Recommendation

Start in U.S. market, then expand into other countries

Risks:

- What if competitor does the same?
- What if we don't sell in U.S., how will appear to other areas of the business?
- Political: what if government changes its mind?
- Internal: do have capacity for immediate production and installation of 1,500 systems?
- Who takes responsibility for the missile after it is diverted from the plane? What if people on the ground are killed? (ethical and PR issue.)

Case 17

Case 17: Cali-Burger

Prompt

Cali-Burger is a family-owned hamburger chain, with roots in Los Angeles County, and a cult following due to its commitment to quality, freshness and dedication to hamburgers. Cali-Burger currently has more than 210 locations in four states: California, Nevada, Arizona and Utah. It is estimated that Cali generates approximately $500 million in annual revenues. For about $20, a family of four can enjoy a meal of four burgers, four orders of fries, and four milkshakes.

Thus far, Cali-Burger's expansion has been characterized by locations within a one-day drive from Los Angeles. The majority of the locations are within a 6 hour drive from Los Angeles. Company policy dictates that locations cannot be more than 500 miles from its suburban Los Angeles distribution center so that the meat and produce do not have to be frozen. Indeed, much of the company's marketing revolves around the theme of never freezing its ingredients. The expansion has also been characterized by locations along major interstate highway routes, for example, along Interstate 5, which runs north south through California and all the way north to the US-Canada border and Interstate 15, which runs from Los Angeles to Las Vegas, Nevada, Cali-Burger's first out-of-state location.

Cali-Burger is considering expanding to the Pacific Northwest so that it will be poised for expansion into Canada. The company has hired you to recommend whether or not to proceed.

Description

Interviewee should note that the key barrier to expansion is the distribution center and the policy that stores cannot be located more than 500 miles from a distribution center. Options to explore are building another distribution center (interviewee should discuss various locations near Canada border), freezing meat and produce, or any other creative recommendations. Margins are slim in the fast food / quick service restaurant industry (2-3%), market is saturated and industry is very mature so expansion should proceed cautiously. Market research should be conducted. But in order for the company to keep to its current expansion strategy, it is running out of viable locations within 500 miles of the distribution center, so this is something the company will have to consider eventually. Other things that could be mentioned—going public to finance a new distribution center, aggressive marketing campaign to increase volume, not pursuing the expansion strategy.

Also ask: Given the numbers provided, should Cali-Burger build a 2nd distribution center? What kind of margin will Cali-Burger maintain?

Firm: KPMG Strategy Round 1 (adapted) | **Type:** Expansion & growth | **Industry:** Restaurants

Case 17: Cali-Burger

Additional Information (if asked)

Industry

- Major competitors are McDonald's (12.7% market share), Yum! Brands (Taco Bell, Pizza Hut, Kentucky Fried Chicken) (9.7%) , and Wendy's/Arby's Group, Inc. (6.6%), as well as mom and pop shops.
- Industry is mature and saturated. Margins in this industry are slim. Net income is usually 2-3% of total sales.
- The Company's current expansion strategy is to add 10-18 stores per year.

Company

- Company is family-owned and has a very strong brand in California. The company does not want to go public (but that option should still be discussed). The company is known for high quality, fresh fast food. The menu items are priced slightly higher than its competitors, due to its higher quality.
- 2008: $450 million in annual revenues. 2009: $500 million.
- Profit before taxes: $25 million.
- Claims of per store sales are $1.94 million.

2nd distribution center option

- Distribution center will cost $12.5million dollars. Cali-Burger will put down 20% and take out a loan on the remainder at an interest rate of 6.5%. Corporate tax rate is 30%. Total costs constitute 95% of gross revenue. If necessary, remind interviewee of fact from beginning that gross revenues are $500 million.

Case 17: Cali-Burger

Additional Information (if asked)

Interviewee's calculations should be close to the following:

Revenue	$500,000,000
Total COGS + operating expenses	($450,000,000)
EBITDA	$50,000,000
Depreciation and amortization	($25,000,000)
EBIT	$25,000,000
Interest	($650,000) (20% down on 12.5 million loan -> $10 million loan @ 6.5%)
EBT	$24,350,000
Tax (30%)	($7,305,000)
Net income	$17,045,000

A 2% industry margin would yield $10,000,000 and @ 3% would yield $15,000,000. This net income yields more than 3% (around 3.4%). Cali-Burger should build the new distribution center.

Case 18

Case 18: Gas Tankers

Prompt

Your client is a private equity group considering an acquisition of a company that produces ground transportation gas tankers. Imagine the sort of trailers that hold big containers of gas and deliver them to gas stations, for example. How large is the market for these trailers in the United States?

Description

This is mostly a marketing size case, with some creative work at the end. First ask the interviewee what variables drive the need for gas trailers. Then ask the interviewee to estimate the market based on those drivers (use volume). Once there is a market size, challenge the final number and see the interviewee's reaction to pushing on different assumptions.

After there is a market size, say: "in due diligence, the private equity group has been told by the company that demand has been surging recently; but your client is suspicious about this sudden growth. What might cause a change in demand for gas trailers?"

After brainstorming, "in fact, it is due to a legal regulation 9 years ago that required upgrades, and so at the time, there was a sudden spike in purchases. Now that we are approaching the 10-year average replacement time, purchases are spiking again. How does this affect your recommendation to the private equity group?"

(Answer: maybe they shouldn't acquire, since demand will probably drop soon.)

Then wrap up the case with a summary and recommendation about whether to acquire.

Firm: Simon-Kucher (adapted)	**Type:** Market sizing, Private equity	**Industry:** Oil & gas, Automotive

Case 18: Gas Tankers

Additional Information (if asked)

Market drivers

- Distance: how far gas needs to be transported
- Volume: total gas needed for delivery in a year

Estimation (ask for interviewee to make each assumption, then correct if assumption is very different)

- 200 bn gallons of gas in the U.S. per year
- 5% do not need transportation (so 150 bn need transportation)
- 20% are transported in ways besides trailers
- Each trailer holds 7,500 gallons on average
- Replacement is every 10 years

Change in demand for gas trailers

- More total gas in the U.S.
- Greater rate of gas consumption
- Gas is travelling further
- Average size of tankers is declining
- Legal regulations that may affect the quality of trailers (so replacement time is decreasing)
- Roads being maintained worse (so replacement time is decreasing)
- Shippers switching from other forms of transportation to trailers

Case 19

Case 19: High Line Air

Prompt

The CEO of a major airline, High Line Air, has approached you and said that he would like to expand into a small California town called Scottsdale. You have 5 days to do preliminary research and get back to him. In your short time, what do you research? How do you allocate your resources for the research? Finally, what do you recommend to him?

Description

Interviewee should identify first how he or she would tackle the problem by allocating resources and deciding how the timeframe of the project will work. As for the project itself, it is a good idea to enter the Scottsdale market because doing so is profitable. It is only profitable with 2 planes, however. There are significant risks to entering, and the interviewee should consider how these might affect the outcome.

Additional Information (if asked)

Resources available

- Have 3 MBAs, no money, and yourself.
- Need a preliminary recommendation in 5 days.

Market

- Customers per year is growing.
- Average of 50 flights per day at the airport.
- Small airport, has one local (small) airline and a few other major ones.

Profits

Can enter market with either 1 or 2 planes.

With 1 plane:

- Revenue: $150 thousand revenue per month.
- Variable costs: cost of goods sold of 40% of revenue and crew of $360 thousand per year. Fixed costs: an unavoidable airport fee of $720 thousand per year.

With 2 planes:

- Total utilization (of both planes together) falls by 15% with the second plane.
- Cost of goods sold and crew costs double.
- Airport fee remains unchanged.

Firm: Navigant Round 1 (adapted) | **Type:** Market entry | **Industry:** Airlines

Case 19: High Line Air

Analysis

Identify Resources
Can divide work in many ways, but must be logical
Divide by area:

- Maybe some have expertise in certain areas
- But, need to take time to bring together different vantage points (so do individual research for 3 days, then combine ideas in last 2 days)

All work together:

- Time consuming, but needs less thought coordination at the end

Divide by difficulty of task:

- One person go to airport
- One person meets with competing airlines
- One person does book research

No one is correct, just defend decision

Profits
Better to go with 2 planes (dollars in thousands):

1 plane:

- Revenue: $1,800
- COGS: $(720)
- Crew: $(360)
- Fee: $(720)
- Profit: $0

2 planes:

- Revenue doubles, but utilization falls by 15%, so ($1,800 * 2) * 85% = $3,060 total revenue
- Enter with 2 planes. A good candidate suggests more than 2 planes, but say that there is no capacity at the airport for more.

Case 19: High Line Air

Analysis

Risks

- Question assumptions: what if revenue misses target? What if costs are higher?
- Integration: how will company integrate new airport into rest of operations?
- How will competitors react?
- Profits: still barely making a profit, maybe there are better investments for the CEO than entering this new market.
- Economic: what if economy goes sour?
- Legal: any changing or risky regulations?

Case 20

Case 20: Security Systems

Prompt

Your client is a financial investor interested in investing in a start-up national security company. The security company sells and installs alarm systems and then provides monitoring service, patrolling the neighborhood and following up if the alarm goes off. The client has hired you to size the market and recommend if this is a good investment or not.

Description

Interviewee should identify first how he or she would tackle the problem by allocating resources and deciding how the timeframe of the project will work. As for the project itself, it is a good idea to enter the Scottsdale market because doing so is profitable. It is only profitable with 2 planes, however. There are significant risks to entering, and the interviewee should consider how these might affect the outcome.

Additional Information (if asked)

Only provide each support slide after being asked for the information by the candidate

- Slides:
  - Target company's current situation
  - Demographics and growth by income
  - Competitive landscape
  - Competitive estimated revenues and earnings
- 10M suburban households
- 1M new suburban households each year
- System is priced 'at-cost'
- 1-2 large local players per market
- Large local players are entering national market and competing with large national player

Case 20: Security Systems

Analysis

Market Sizing
$1000 New System * 1M New Homes + $30/Month Service * 12 Months *10M Existing Homes = $4.2B in Annual Revenue

Market Growth
- 70% of alarm buying market is growing at 1% per year, with the overall alarm buying market growing at or less than population growth
- This makes market growth unattractive

Competitive Reach
- The national market is dominated by one player with several other strong players making entry very difficult
- The local market is highly fragmented with apparently 1-2 major players in each market, making entry in this space equally difficult with local de-facto monopolies

Competitive Environment
- Large national players appear to be operating with rather low EBIT numbers – this may be due to spread out infrastructure and inefficient utilization of resources
- Smaller local players have stronger EBITs, however this leaves them in a strong position to compete, and entry will be difficult

The market does not appear attractive at this time.

Case 20: Security Systems

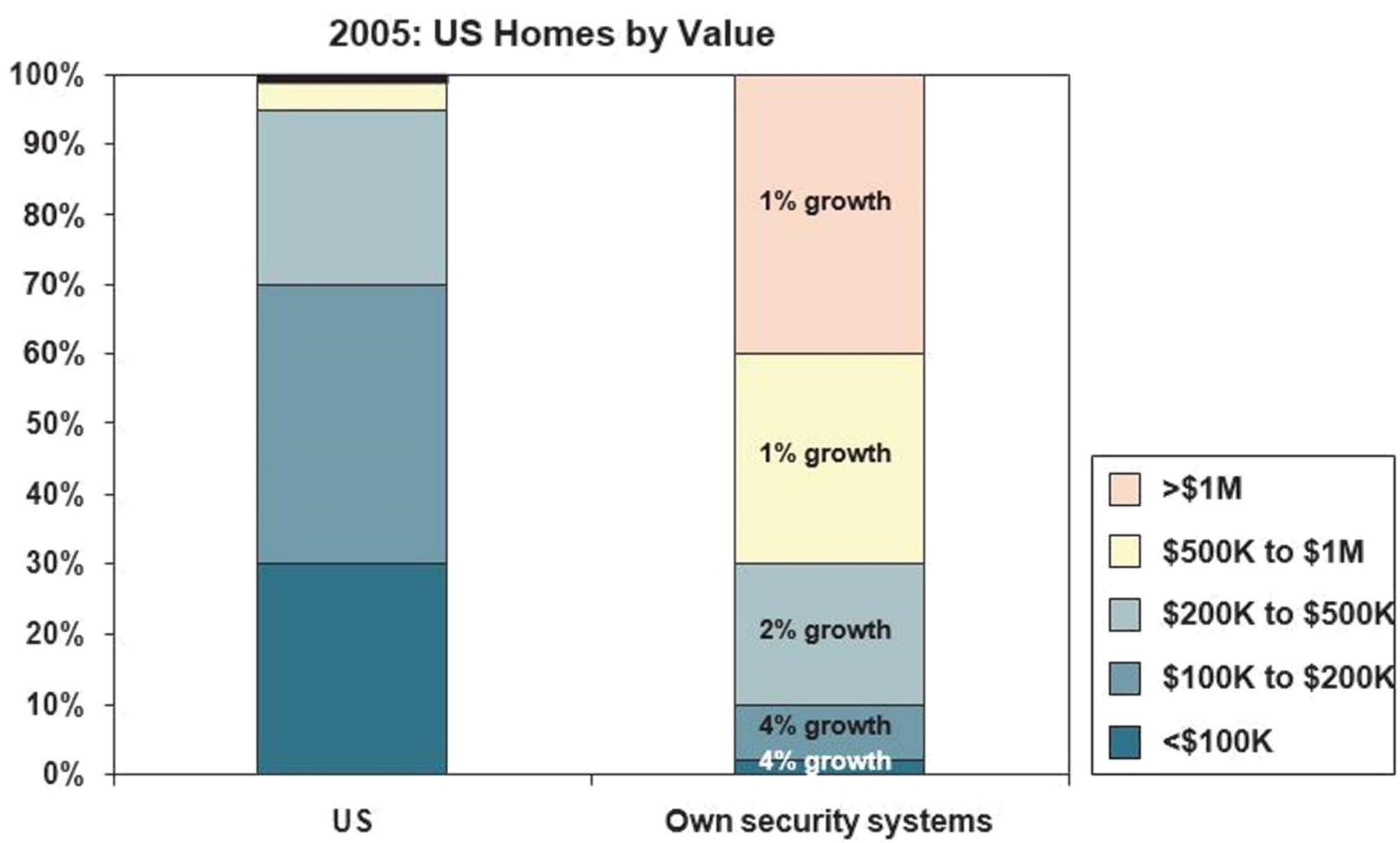
Exhibit 1

Client Market Situation

Number of homes in market	10 Million
Home growth last year	1 Million
Competitors	Largest national player appears to have financial difficulties
System Price	$1,000 installed
Service Price	$30 per month

Case 20: Security Systems

Exhibit 2

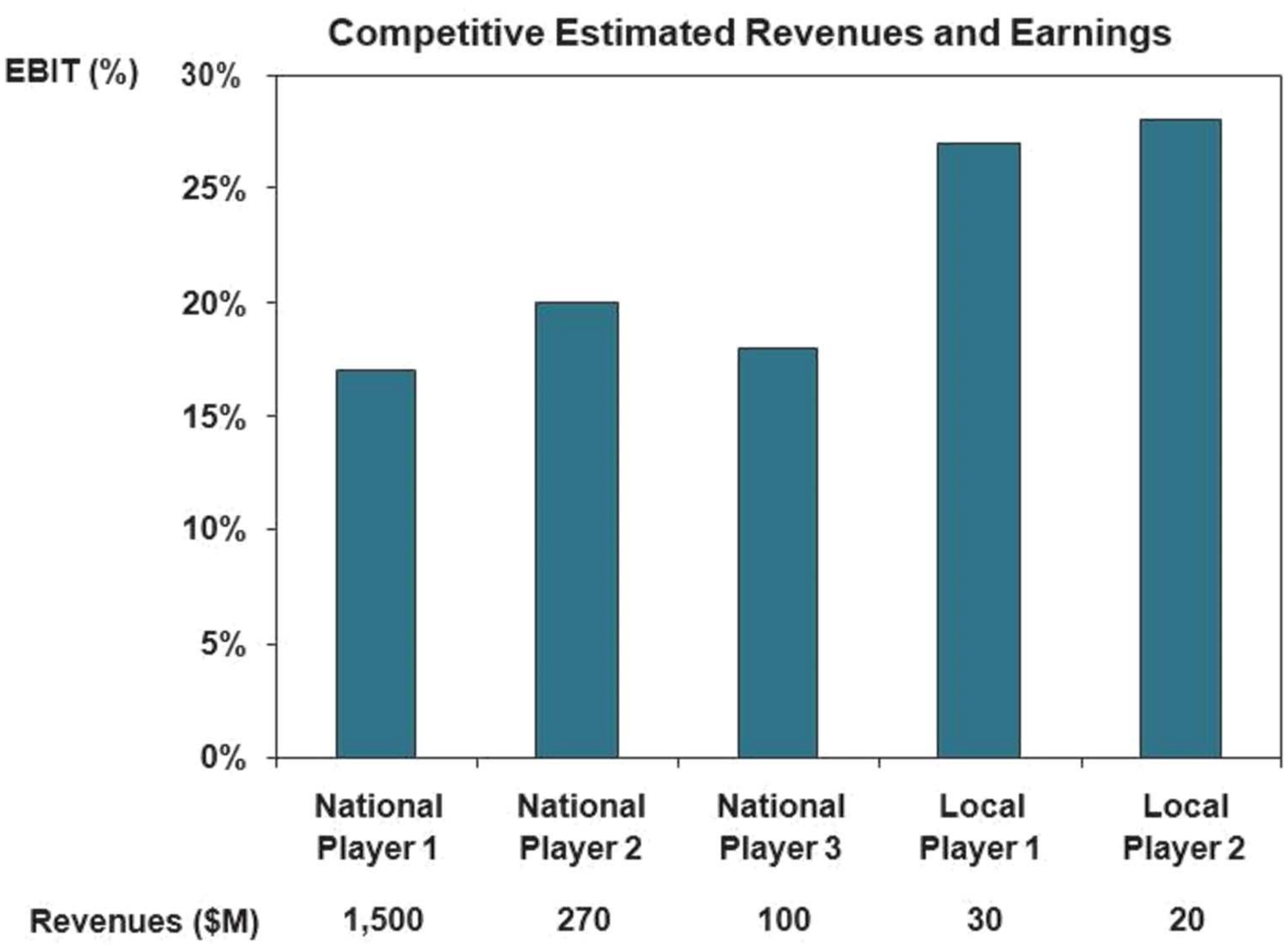


Case 20: Security Systems

Exhibit 3

Case 20: Security Systems

Exhibit 4



Case 21

Case 21: Plastics

Prompt

The CEO of the world's largest plastic injection molding company has approached your consulting company to help grow profits. The Company receives a prototype from its clients and has the competency to produce as many as required. For example, a cell phone designer provides a design for a cell phone, and the company is responsible for producing millions.

The company makes its products faster, better and cheaper than all its competitors. It has a 5% cost advantage, commands a sustained 5% price premium, can ship to anywhere in the world, and has twice the market share than the number two player.

Currently, the company has a 10% profit margin. The CEO wants your help in growing the profit margin to 20%. What do you recommend?

Description

This case tests two things: an interviewee's ability to stay cool under pressure, and the foresight to question assumptions. Doubling the profit margin isn't possible – the company is already the best in the world! As the interviewee suggests ideas and works through a framework, the interviewer should aggressively shut down various ideas.

Keep pushing until the interviewee finally asks whether the growth is possible. At that point, press for more suggestions. Finally when the interviewee is out of ideas, ask for a recommendation. See if the interviewee suggests plan that try to grow profitability, or if the interviewee addresses the fact that the goal isn't feasible.

Additional Information (if asked)

Market

- No significant threat from competitors
- Too difficult to capture more share from competitors

Product

- Sells worldwide
- Other products are much lower quality
- Cell phone customers: are the trendy, up-and-coming players

Firm: Bain Round 1 (adapted) | **Type:** Profitability | **Industry:** Electronics, Manufacturing

Case 22

Case 22: Motel Blues

Prompt

Our client, Motel 5, provides customers with affordable lodging for travelers. For the past 3 years, Motel 5's profit margin has been decreasing. Our client has asked you to determine why its profit margin has declined over the past three years and how to remedy this issue.

Description

This requires the interviewee to first identify the cause for the decline in profit margin, then to seek a resolution. The interviewee should acquire all relevant revenue and cost information prior to offering a definitive answer to the first part of the question. While the second part of this may seem more open-ended, cost is the culprit for decreased profit margins and this should lead the interviewee to conclude that Motel 5 needs to reconsider its marketing technique in order to lower costs and regain its profit margins.

Additional Information (if asked)

- Motel 5's profit margin was stable up until 2007
- Motel 5 has not made any significant changes in the management of their business in the years when its profit margins began declining
- Motel 5's establishments are generally located outside major cities
- Motel 5 advertises mostly by local ads and billboards
- It has three major competitors: USC Inn, The Corner Motel and Stay Lodge
- The overall industry has not suffered a decline

Only give the interviewee the exhibits if asked for that specific information.

Firm: Simon-Kucher Round 1 (adapted) | **Type:** Profitability | **Industry:** Tourism, Hospitality, Online

Case 22: Motel Blues

Analysis

Company Costs

- While there is some fluctuation in all costs, it is the cost of marketing that has changed most

Industry Costs

- The cost of marketing has stayed about the same for Motel 5 but the cost of marketing in the industry has decreased
- The interviewee should conclude that is the decrease in the cost of marketing for other similar businesses that has negatively impacted Motel 5's profit margin
- One other evident difference is the misc. fees: interviewee should inquire about these sales fees and note that they are related to travel agents' sales commission

Compare to Industry

- Interviewee should determine what other businesses have done to keep their costs low
- Example: switching to print ads only because billboards have proven ineffective

Suggested Solutions

- Switch to online advertising
    - Affordable lodging is outside main city areas
    - Less expensive
    - Individuals can book rooms directly, thus the company will not have to pay sales commissions
    - Reach a larger customer base
    - Included in online rating guide
- All of competitors have gone online and eliminated travel agent (reducing those costs)
- Competitors are also moving online
- Industry is seeing more customers switch to online bookings

Case 22: Motel Blues

Exhibit 1

Exhibit 1: Company Costs for Years 2007 - 2009

	2007	2008	2009
Labor	$12.8	$13.1	$12.9
Maintenance and Supplies	$3.1	$2.7	$2.8
Marketing	$4.4	$4.9	$5.4
Misc. Fees (Rental & Sales)	$2.8	$2.9	$3.0

Case 22: Motel Blues

Exhibit 2

Exhibit 2: Industry Costs for Years 2011 - 2013

	2011			2012			2013		
	USC Inn	The Corner Motel	Stay Lodge	USC Inn	The Corner Motel	Stay Lodge	USC Inn	The Corner Motel	Stay Lodge
Labor	$12.5	$13.6	$13.0	$12.5	$13.4	$13.0	$12.6	$13.4	$13.1
Maintenance and Supplies	$3.1	$2.7	$2.7	$3.0	$2.8	$2.5	$3.0	$2.8	$2.4
Marketing	$4.4	$4.3	$4.5	$4.1	$4.0	$4.2	$3.9	$3.8	$4.0
Misc. Fees (Rental & Sale)	$0.5	$0.5	$0.6	$0.9	$0.5	$0.6	$0.8	$0.4	$0.5

Case 23

Case 23: Olympic Trials

Prompt

Los Angeles is considering placing a bid to host the upcoming Summer Olympic Games. Our client, the bidding committee, approached us to ask for our opinion of what the major considerations should be. Of major concern is how to convince the state and federal governments that this would be beneficial for the city. How would you recommend they go about doing this?

Description

This case is designed to test the interviewee's ability to generate a framework outside of what they might be accustomed to; there is no market, no competition, a very unusual product. The case is designed to initially revolve around profitability, which will show a great deficit. At this point, the interviewer should ask If hosting the games is a bad idea. If the interviewee says that it is, then the case can turn into a brainstorming session on how the committee might convince the government that it is a good idea after all. Let the interviewee float around with some questions, before hinting that we should be looking at this from a profitability angle.

Additional Information (if asked)

- The Olympics are to be held over 15 days.
- Costs: (give all at once)
    - $2.8 billion for the operation of the games (opening ceremony, security, athlete support, transportation, etc.)
    - $2.6 billion for freeway upgrades
    - $6.0 billion for new and upgrading venues
    - $2.5 billion for new airport terminal
    - $1.1 billion for athlete facilities
- Revenues (ask what interviewees think revenue streams could be, and give out one at a time)
    - International Olympic committee support: $1.1 billion
    - Tickets: Give Exhibit 1
    - Sponsorship: $75 per seat (occupied*) (Math Answer = $0.9B)
    - TV rights: combined with the preceding winter Olympic games, TV stations pay $15 billion, and the summer games is expected to take 80% of this. Of this total, 25% will go to the organizing committee. (Math Answer = $3B)

* Do not say occupied seat unless the interviewee asks if this is the case. If this comes after the Ticketing section, then tell the interviewee that he / she has omitted thinking about occupancy, and ask how this would affect the numbers.

Case 23: Olympic Trials

Analysis

- The chart below shows Exhibit 1 plus the ensuing calculations.
- Profitability answer: revenue ($7B) – costs ($15B) = $(8) billion This combines the chart below and the numbers provided on the previous page.
- Ask the interviewee if this makes the bid a bad idea. Regardless of the answer, ask how that gap could be closed (eg: official merchandise, tolls on new freeways, changing seating price, changing capacity through marketing, utilizing semi-temporary venues and facilities).
- After debating, concede that the gap might be narrowed to a $6 billion deficit. Ask if bidding for the Olympics is still a bad idea.
- Explain that historically, an Olympic games rarely shows a direct profit for the host city, however, indirectly it has been shown that an Olympic games can be hugely beneficial for a host city, both fiscally and emotionally. Ask how this could be the case.
- Arguments that could be made to the government that hosting the Olympics could be a good thing:
- Tourism during and after the games would increase, reducing, and perhaps offsetting, the profitability deficit.
- Upgrading city infrastructure (eg airports etc) is beneficial
- Sense of pride throughout the city – good for everyone living there

Interviewee sheet			*Additional info (if asked)*	*Math answers*	
Seating Type	Price Per Ticket	Total Number of Seats Per Day	Expected Capacity *	Total occupied seating (for entire 15 days)	Total Revenue (for entire 15 days)
A	$200	420,000	95%	5,985,000	$1.197 B
B	$120	700,000	60%	6,300,000	$0.756 B
		Exact Totals: (allow these when moving forward with further calculations)		12,285,000 (~12M)	$1.953 B (~$2 B)

** Provide if asked, but allow interviewee to complete workings without this first, and then ask what assumptions have been made. If the interviewee doesn't think of this, provide the numbers.*

Case 23: Olympic Trials

Exhibit 1

Exhibit 1: Seating

Seating Type	Price Per Ticket	Total Number of Seats Per Day
A	$200	420,000
B	$120	700,000

Case 24

Case 24: Travel Agency

Prompt

Your client is a travel agency that makes a 10% commission on all of its bookings. Their current profit before taxes is $1M, while the industry average ranges from $2M to $3.5M. Why are they making less than the industry average?

Description

Additional Information (if asked)

- Clients total annual gross revenue: $10M
- Competitors have similar revenue figures
- Agency only books plane tickets for customers
- Revenue Breakdown
    - 60% Business Travel
    - 40% Leisure Travel
- The total number of transactions is around one million per year.
- On average, about 300K go to the business segment, and 700K to the leisure.
- Transaction costs, regardless of segment, are $9

Firm: McKinsey | **Type:** Profitability | **Industry:** Tourism, Hospitality, Online

Case 24: Travel Agency

Analysis

Calculations

Segment	Share	Volume	Total Revenue	Revenue / Transaction	Cost / Transaction	Profit / Transaction	Gain
Business	60%	300,000	$ 6,000,000	$ 20.00	$ 9.00	$ 11.00	$ 3,300,000
Leisure	40%	700,000	$ 4,000,000	$ 5.71	$ 9.00	$ (3.29)	$ (2,300,000)
			$ 10,000,000				$ 1,000,000

Key Findings

- The leisure travelers are draining your profitability. Either the cost per transaction is too high or the revenue per transaction made on the leisure is too low.

Recommendations

- Benchmark the cost structure of other travel agencies.
- Negotiate with the airlines on the possibility of charging a premium for leisure tickets or capture a larger commission through cost charged to the customer.
- Look into the possibility of reducing cost per transaction for the leisure travelers.
- Offer the leisure traveler other products to increase revenue per transaction such as hotel bookings and travel packages. Become a niche player and focus only on the business traveler

Case 25

Case 25: LA Restaurant

Prompt

Your friend has approached you about a new opportunity he has found. He works in Seattle and likes to buy-up quick cash-producing businesses around the country (carwashes, Laundromats, convenience stores, etc.) and has been approached by a restaurant owner with an offer. The restaurant owner runs a restaurant in Los Angeles with his wife. They are reaching retirement age and would like to pass on the business to someone else. The restaurant has always been a family-owned business and is part of a strip mall near the freeway. This strip mall also have four other restaurants and it sits across the street from two tall business centers. In the past four years, the restaurant has been losing money and the owners don't know why. What is going on with their profits, what do you recommend to turn around profits (if possible), and do you recommend your friend acquire the business?

Description

The business has been losing profits due to a decline in food interest from the adjacent business centers. Four years ago, the business center lost several major tenants. Then two years later, the business center was filled by new tenants, but sales have still been down. Once the business became less well-known, it never regained its brand image.

There is no correct answer to this case. Interviewee should be comfortable with ambiguity and little information. Also, interviewee should be able to defend assumptions and be flexible when interviewer changes assumptions. Interviewer should challenge interviewee in many areas.

There are good arguments to acquire and not to acquire. Interviewee should pick a side and stick with it, unless there is enough information to suggest otherwise.

Additional Information (if asked)

Market

- Based almost entirely on adjacent business centers.
- Is a function mainly of lunch customers each day.
- Each business center has 20 floors and sits 100 people per floor on average (all of whom eat lunch).
- On any given day, 5% of the people didn't show up for work, 50% of the remaining go out to lunch, and 90% of them go to the adjacent restaurants for food.
- Our restaurant currently has 10% market share (relative to its 4 competitors).
- No growth.
- 4 other restaurants are all fast-food.

Restaurant

- When business declined 4 years ago, the owners had to fire 2 assistants, which put a strain on manager / employee relations.
- Sell all kinds of food – mostly a broad 'American' food place.
- We are like a sit-down diner, but also package food to go.
- Avg. wait time at our restaurant is 5 minutes, average time at the others is 3 min.

Firm: Capgemini Round 1 | **Type:** Private equity | **Industry:** Restaurants, Small businesses

Case 25: LA Restaurant

Analysis

Market Size Estimation

- 2 buildings * 20 floors * 100 person capacity per floor = 4,000 people
- 4,000 * 95% present = 3,800 in buildings
- 3,800 present * 50% out to lunch * 90% who go to adjacent restaurants = 1,710 total market opportunity.
- 1,710 market opportunity * 10% market share = 171 customers each day

Customer

- Ask interviewee: how would you find out why customers aren't coming?
    - Stand outside business center and survey
    - Ask customers who do come
    - Ask business center management
- Answer: workers looking for a quick lunch, our wait time is too long.
- Most customers take food back to business center and eat at desk (don't sit and eat at restaurant).

Profits

- Ask interviewee: what if breakeven for restaurant every day is 200 customers? Do you recommend buying or not?
    - At first thought, seems high for a restaurant just to break even
    - Currently below that number: not good
- Then ask interviewee: what if we can improve operations so that breakeven becomes 100 customers, how does that affect recommendation?
    - That information makes it much more appealing, and so profitability objective is achieved

Case 25: LA Restaurant

Recommendation

For profits:

- Brand more as quicker food option
- Advertise in business centers
- Offer delivery
- Offer more fast-food items on menu
- Identify restaurant bottleneck and provide more resources

Acquire? No correct answer, many things to consider:

- Yes: optimistic that can improve operations to reduce customer turnaround time; may be able to bring down breakeven level of customers, and so profitability.
- No: market is not growing, strong competition, challenges in picking up family-owned business.

Case Book 1

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